ARB 017/2025 Om v Ottilie

OCTOBER 28, 2025 ARBITRATION - ORDERS

Claim No: ARB 017/2025

IN THE DUBAI INTERNATIONAL FINANCIAL CENTRE COURTS

IN THE COURT OF FIRST INSTANCE

BETWEEN

OM

Claimant

and

OTTILIE

Defendant

ORDER WITH REASONS OF H.E. JUSTICE SHAMLAN AL SAWALEHI

UPON the Defendant's Application No. ARB-017-2025/1 dated filed pursuant to Part 12 of the Rules of the DIFC Courts (the "RDC"), challenging the DIFC Court's jurisdiction (the "Jurisdictional Challenge Application")

AND UPON the Order of H.E. Justice Shamlan Al Sawalehi dated 20 May 2025, recognising and enforcing the Final Arbitral Award dated 20 May 2024

AND UPON the Claimant's Application No. ARB-017-2025/2 dated 18 July 2025 seeking a virtual hearing to be listed as soon as possible (the "Claimant's Application")

AND UPON hearing Counsel for the Claimant and the Defendant failing to appear at the hearing held on 17 October 2025 before H.E. Justice Shamlan Al Sawalehi (the "Hearing")

AND UPON the Court having considered and reviewed all submissions, evidence, and authorities filed on behalf of the parties

IT IS HEREBY ORDERED THAT:

1. The Defendant's Jurisdictional Challenge Application is dismissed.

2. The Claimant's Application is granted.

3. The Applicant shall pay the Respondent's costs of the Application, on the standard basis if not agreed. The Respondent shall file and serve a statement of costs not exceeding 3 pages within 5 days of this Order.

Issued by:

Delvin Sumo

Assistant Registrar

Date of issue: 28 October 2025

At: 10am

SCHEDULE OF REASONS

1. This is the Defendant/Applicant's jurisdiction challenge under Part 12 of the DIFC Courts (the "RDC") to the Claimant/Respondent's Arbitration Claim for recognition and enforcement of a foreign arbitral award pursuant to Article 42 of the DIFC Arbitration Law (Law No. 1 of 2008) and Article 14(A)(5) of the DIFC Courts Law (Law No. 2 of 2025).

2. This Application was listed for hearing on 17 October 2025. The Defendant did not attend and has been non-responsive to Registry communications regarding the hearing.

3. For the reasons set out below, the Application is dismissed.

Background

4. On 10 April 2025, the Claimant issued an Arbitration Claim seeking recognition and/or enforcement of the Final Award dated 20 May 2024.

5. Pursuant to RDC 43.17(2) and 43.62, the recognition/enforcement application was determined without notice, and on 20 May 2025 an Enforcement Order was granted.

6. The Enforcement Order was served on the Defendant by email on 21 May 2025 in accordance with RDC Part 9.

7. Under RDC 43.70(1) and (2), the Defendant then had 14 days after service (i.e., until 4 June 2025) to apply to set aside the Enforcement Order and, until the expiration of that period or final disposal of any application made within it, enforcement is stayed.

8. The Defendant filed an Acknowledgment of Service on 10 June 2025, outside the period prescribed by RDC 11.5 and RDC 43.19 (14 days from service of the Arbitration Claim Form).

9. The Defendant did not apply within time to set aside the Enforcement Order under RDC 43.70, nor did it apply for an extension of time or relief from sanctions under RDC 4.2(1).

10. On 25 June 2025, the Defendant filed a witness statement and the present Application under RDC Part 12 challenging the Court's jurisdiction, but again without seeking any extension of time or relief from sanctions.

The Applicant/Defendant's Submissions

11. The Defendant submits, in essence, that the DIFC Courts lack jurisdiction to recognise and enforce the Final Award on several grounds:

(a) That the Claimant failed to comply with Article 42(2) of the DIFC Arbitration Law by not supplying the original arbitration agreement or a duly certified copy thereof;

(b) That the Claimant has failed to comply with RDC 45.22, which requires an Arabic translation of any judgment or ratified award sought to be executed through other authorities, thereby rendering the recognition and enforcement process defective;

(c) That recognition and enforcement of the Final Award would be contrary to UAE public policy under Article 44(1)(b)(ii) of the Arbitration Law, as it would deprive the Defendant, a mainland Dubai entity, of the procedural protections afforded under UAE domestic law; and

(d) That the DIFC Courts constitute a forum non conveniens for the dispute, being unconnected to either party or the subject matter, and that the Claimant's reliance on the DIFC Courts' conduit function represents an abuse of process.

12. The Defendant further submits that the DIFC Courts' jurisdictional competence under Article 14(A)(5) of the DIFC Courts Law and Article 42 of the Arbitration Law does not override the territorial limits of the DIFC or the policy intent underlying the Judicial Authority Law. It contends that the absence of any territorial nexus or assets within the DIFC, coupled with the purely offshore nature of the award and parties, renders recognition and enforcement inconsistent with the statutory framework and legislative intent.

13. The Defendant also relies on jurisprudence addressing the distinction between a party's submission to jurisdiction and the Court's subject-matter competence. The Defendant argues that a deemed submission under RDC 12.5(1) cannot cure an inherent absence of jurisdiction or confer powers not granted by law.

14. In addition, the Defendant contends that the Claimant's use of the DIFC Courts for recognition is tactical and contrary to the spirit of comity between the DIFC and Dubai Courts. It argues that the Claimant seeks to exploit the DIFC's "conduit jurisdiction" solely to circumvent scrutiny by the onshore Dubai Courts, thereby defeating the balance envisaged under the Judicial Authority Law. The Defendant submits that this constitutes an abuse of process and is inconsistent with the principle that the DIFC Courts were not intended to serve as an "alternative" jurisdiction for matters otherwise falling within the competence of the onshore courts.

15. Finally, the Defendant maintains that, as neither party is established or operating within the DIFC and no property of the Defendant is situated there, the Court should decline to exercise its jurisdiction in the interests of judicial economy and fairness.

The Respondent/Claimant's Submissions

16. The Claimant submits that the Application is procedurally misconceived, defective, and out of time. The Defendant failed to file a timely Acknowledgment of Service within 14 days of service of the Arbitration Claim Form as required by RDC 11.5 and 43.19, failed to file any jurisdictional challenge within the 14 days following acknowledgment as mandated by RDC 12.4, and failed to apply for any retrospective extension of time or relief from sanctions under RDC 4.2(1).

17. The Claimant emphasises that an Enforcement Order was already issued without notice on 20 May 2025 and duly served on the Defendant on 21 May 2025 pursuant to RDC 43.68. The proper procedural step for the Defendant, if aggrieved, was to make an application to set aside that Order within 14 days of service, as expressly provided under RDC 43.70(1).

18. The Claimant further submits that the Defendant failed to do so and instead brought this procedurally irregular Part 12 challenge without first seeking any extension of time or dispensation. The Claimant submits that the Court's discretion to extend time under RDC 4.2(1) cannot be exercised sua sponte and must be invoked by proper application supported by explanation and evidence.

19. On the merits, the Claimant submits that the DIFC Courts have clear and exclusive jurisdiction under Article 42 of the DIFC Arbitration Law and Article 14(A)(5) of the DIFC Courts Law (Law No. 2 of 2025) to recognise and enforce arbitral awards irrespective of the parties' domicile, business activity, or asset location.

20. The Claimant further contends that the alleged non-compliance with Article 42(2) of the Arbitration Law is unfounded. The arbitration agreement and award were duly exhibited and verified through the witness statements of Mr. Ravi P. Jawani, and their authenticity has never been disputed by the Defendant, who participated fully in the arbitration proceedings. The requirement in Article 42(2) is evidential, not jurisdictional, and any deficiency may be cured at the inter partes stage.

21. The Claimant submits that RDC 45.22 is irrelevant to the present proceedings as it governs execution outside the DIFC, not recognition or enforcement within it. Any requirement for Arabic translation arises only at the execution stage. Furthermore, an Arabic translation of the award has already been filed in the separate execution proceedings under Enforcement, thereby satisfying that requirement.

22. As to the public policy objection under Article 44(1)(b)(ii), the Claimant submits that it is both speculative and misconceived. Recognition of a foreign award by the DIFC Courts does not contravene UAE public policy; on the contrary, it is consistent with the UAE's obligations under the New York Convention and the policy of international enforceability embodied in the DIFC Arbitration Law. The DIFC Courts have consistently held that enforcement of foreign awards does not offend public policy merely because the award debtor is domiciled outside the DIFC.

23. Finally, the Claimant submits that the Defendant's reliance on "forum non conveniens" and "conduit jurisdiction" arguments has been repeatedly rejected by this Court and the DIFC Court of Appeal. The Court's jurisdiction to recognise awards under Article 14(A)(5) and Article 42 is exclusive; there is no alternative forum for that determination. The DIFC Courts have been expressly recognised as a conduit jurisdiction whose judgments are enforceable before the Dubai Courts pursuant to the Judicial Authority Law. Consequently, the Defendant's Application is both procedurally barred and substantively unsustainable.

Discussion and Analysis

A. Procedural posture and compliance with the RDC

24. The recognition/enforcement regime in RDC Part 43 is a specific rule. An application under Article 42(1) may be made without notice by Arbitration Claim Form (RDC 43.17(2), 43.62), supported by written evidence (RDC 43.66), with service of any order made (RDC 43.68).

25. Where an Enforcement Order is made without notice, the award debtor has a 14-day window to apply to set aside (RDC 43.70(1)) and enforcement is restricted pending expiry or determination of such application (RDC 43.70(2)); the order must state these matters (RDC 43.71).

26. The Defendant did not apply under RDC 43.70 within the prescribed period; nor has it sought an extension of time or other relief under RDC 4.2(1) explaining and justifying the delay.

27. Separately, for a Part 12 jurisdiction challenge, a defendant must first file a valid Acknowledgment of Service (RDC 12.2) (the "AoS") within the period fixed by RDC 11.5 and 43.19 (here, 14 days from service of the Arbitration Claim Form). The Defendant's AoS on 10 June 2025 was late.

28. An application disputing jurisdiction must then be made within 14 days of filing the AoS and be supported by evidence (RDC 12.4). Failure to file a timely AoS results in deemed acceptance of jurisdiction (RDC 12.5(1)).

29. The Defendant took none of the procedural steps necessary to regularise its position: it did not seek an extension for the late AoS; it did not seek relief from the deemed submission under RDC 12.5(1); and it did not pursue the designated RDC 43.70 set-aside route with reasons mapped to Article 44.

30. The Court's discretionary power under RDC 4.2(1) (to extend or shorten time limits) is exercisable judicially and ordinarily on application supported by reasons and evidence. No such application is before the Court; there is no material on which to exercise that discretion.

31. In light of the foregoing, the Application is procedurally incorrect and out of time. The Defendant is deemed to have accepted the Court's jurisdiction for the purposes of trying the claim (RDC 12.5(1)), and it has not taken the correct course to challenge the Enforcement Order under RDC 43.70.

B. Jurisdiction of the DIFC Courts to recognise/enforce foreign awards

32. Independently of the procedural defaults, the DIFC Courts have exclusive jurisdiction over “Claims and applications for the ratification or recognition of Arbitral Awards” by virtue of Article 14(A)(5) of Law No. 2 of 2025 (DIFC Courts Law), read with Articles 42-44 of the DIFC Arbitration Law.

33. Article 42(1) provides that an arbitral award, wherever made, “shall be recognised as binding within the DIFC and, upon application in writing to the DIFC Court, shall be enforced” subject only to Articles 43 and 44.

34. The enforcement process is mechanistic and non-adjudicative as to the underlying merits; refusal may be considered only within the closed list of grounds in Article 44. Matters such as the parties’ domicile, business activity, or the presence of assets in the DIFC are not statutory pre-conditions to recognition or enforcement.

C. Article 42(2) formalities

35. The Defendant argues non-compliance with Article 42(2) regarding production of the original award and arbitration agreement or duly certified copies. The materials include the award and the arbitration agreement as exhibited to witness statements; the Defendant participated fully in the arbitration and never contested the existence or authenticity of the arbitration agreement.

36. On the evidence, the Article 42(2) requirements were met or, at minimum, any formal deficiency was cured inter partes during the contested stage. The purpose of Article 42(2) is to prove existence and terms of the award/agreement; where authenticity is not genuinely disputed and the debtor participated in the reference, formalism is not a freestanding bar to recognition.

37. In any event, such a documentary point was required to be raised by a timely application to set aside under RDC 43.70, supported by evidence and fitted to a cognisable Article 44 ground. No such application was made.

D. RDC 45.22 and translation/execution arguments

38. Whether and when an Arabic translation is required is a question that arises in the execution pathway; it is not a bar to recognising an award within the DIFC. Moreover, the record shows that translation issues were addressed in the separate execution file commenced on 11 June 2025.

E. Public policy and forum non conveniens

39. Article 44(1)(b) public-policy limb concerns UAE public policy in the sense relevant to recognition of awards. The Defendant identifies no intrinsic feature of the award or arbitral process that offends public policy. The contention that recognising an award in the DIFC somehow deprives the Defendant of rights in onshore courts is not a public-policy ground under Article 44 and is contrary to the statutory scheme by which DIFC recognition may be presented for execution elsewhere under the applicable inter-court framework.

40. Forum non conveniens has no application to the question whether the award should be recognised in the DIFC. The DIFC Courts have exclusive competence to decide recognition within the DIFC by force of Article 14(A)(5) and Articles 42-44. There is no “alternative” forum for that question within the

DIFC system.

41. Assertions about “conduit” enforcement or absence of assets in the DIFC do not constitute grounds under Article 44. The legislative design permits recognition in the DIFC irrespective of asset location; subsequent execution steps follow the rules governing inter-court cooperation and enforcement.

F. Non-attendance

42. The Defendant’s non-attendance at the hearing, despite notice, underscores the absence of any substantive or procedural basis to disturb the established recognition order or to excuse the procedural defaults. I have nonetheless considered the Application on its merits and I am satisfied that it fails both procedurally and substantively.

Conclusion

43. The Application is dismissed for procedural reasons and on the substantive legal framework. The DIFC Courts have clear statutory jurisdiction under Article 14(A)(5) and Articles 42-44.

44. The Respondent is entitled to its costs of the Application on the standard basis, to be summarily assessed in accordance with paragraph 3 of this Order.